



Best's Credit Rating Effective Date

May 29, 2026

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Information

[Best's Credit Rating Methodology](#)

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Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Homesteaders Life Company

AMB #: 006534 | **NAIC #:** 64505 | **FEIN #:** 42-0316600

Ultimate Parent: AMB # 049335 - Homesteaders Life Mutual Holding Company

Best's Credit Ratings

Financial Strength Rating (FSR)

A-
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a-
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Strong
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Rationale

Balance Sheet Strength: **Strong**

- Risk-adjusted capitalization is assessed as strong as measured by Best's Capital Adequacy Ratio (BCAR). Homesteaders' BCAR has shown a steady decline over recent periods due primarily to its strategic investments in non-admitted statutory assets.
- Year-end 2025 capital and surplus (C&S) increased from the prior year-end due to gains from operations.
- Financial leverage was eliminated from the balance sheet in 2025 due to the conversion of two surplus notes to common equity.
- Homesteaders maintains a high-quality, liquid investment portfolio expertly managed by external asset managers. Allocation to commercial mortgages has increased in recent periods due primarily to the company's funeral home lending program.
- Homesteaders has two additional sources of liquidity through a bank line of credit and borrowing capacity via its Federal Home Loan Bank (FHLB) membership.

Operating Performance: **Adequate**

- Net underwriting income has consistently been negative, and while there was some slight growth in 2025, underwriting income remains at a loss as is common with most life products.
- The elevated interest rate environment has led to continued high level growth in investment income and has also enabled the company to periodically increase crediting rates in the recent past to help maintain its competitive position.
- As a mono-line business model, 100% of Homesteaders' earnings are generated from the pre-need and end of life planning line of business.
- Net premiums and deposits increased slightly in 2025, with average policy sizes trending up since the depth of the pandemic. The trend in cremations continues to impact policy size; however, this is outweighed by an increase in celebratory services and inflationary pressures on funeral homes.

Business Profile: **Neutral**

- Homesteaders remains a leader in the pre-need market despite increasing competitive pressures.
- As a single line insurance company, Homesteaders lacks product diversification. However, Homesteaders has sufficient geographic diversification.
- Homesteaders continues to focus on improving its distribution channels and strategically invests in various sales tools to support its distribution partners.
- Innovation is a focus of Homesteaders, with the company emphasizing such in carrying out the execution of its multi-year strategic plans.

Enterprise Risk Management: **Appropriate**

- Homesteaders' enterprise risk management (ERM) program is appropriate for the company's risk profile as a mono-line pre-need provider.
- Homesteaders' ERM policy provides for regular monitoring by the Risk Committee and executive leadership team with periodic reporting to the Audit Committee, which assists the board in its oversight responsibilities of the company.
- Homesteaders completes an Own Risk Solvency Assessment (ORSA) each year, with no issues detected through the first quarter of 2025. The company is required to comply with the Model Audit Rule.
- Homesteaders continues to primarily market pre-need products, so there is concentration risk in being a mono-line writer, but has begun complementary diversification efforts in the end of life planning space.

Outlook

- The stable outlooks reflect the expectation that Homesteaders will maintain its strong balance sheet strength assessment with stable or improving risk-adjusted capitalization supported by profitable operations.

Rating Drivers

- A negative rating action could result from a substantial drop in balance sheet strength metrics.

- While unlikely, a positive rating action could result from a sustained and material improvement in operating performance.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	21.6	13.7	10.5	9.7

Source: Best's Capital Adequacy Ratio Model - L/H, US

Key Financial Indicators USD (000)	3-Months		Year End - December 31				
	2026	2025	2025	2024	2023	2022	2021
Assets:							
General Account	4,404,687	4,187,364	4,379,664	4,202,865	3,862,380	3,638,938	3,451,572
Total	4,404,687	4,187,364	4,379,664	4,202,865	3,862,380	3,638,938	3,451,572
Liabilities:							
Net Life Reserves	3,828,737	3,636,376	3,793,721	3,611,377	3,444,870	3,256,834	3,112,475
Liability for Deposit Contracts	120,221	120,926	133,602	152,964	126,622	104,092	52,590
Asset Valuation Reserve	54,805	50,549	45,172	45,152	30,276	27,683	24,049
Other General Account	79,683	62,954	73,697	68,698	66,911	64,712	67,804
Total	4,083,445	3,870,804	4,046,192	3,878,191	3,668,680	3,453,321	3,256,919
Total Capital and Surplus	321,242	316,560	333,472	324,674	193,700	185,616	194,653
Net Income	1,708	500	15,591	11,553	-28,042	7,953	5,530
Net Premiums Earned	155,390	146,553	633,054	581,264	557,094	551,373	561,746
Net Investment Income	45,440	43,179	177,523	169,887	157,363	140,292	127,621

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	3-Months		Year End - December 31					Weighted Average
	2026	2025	2025	2024	2023	2022	2021	
Operating Return on Revenue	0.5	0.7	2.3	1.7	-3.8	1.0	0.6	0.4
Operating Return on Capital and Surplus	1.2	1.6	5.8	5.0	-14.2	3.5	2.2	1.4
Net Investment Yield	4.2	4.2	4.2	4.3	4.3	4.0	3.9	4.2
Pre-Tax Investment Total Return	3.9	3.4	3.7	5.2	3.9	3.7	3.6	4.0

Source: BestLink® - Best's Financial Suite

Leverage (%)	3-Months		Year End - December 31				
	2026	2025	2025	2024	2023	2022	2021
General Account Liabilities to Capital and Surplus	12.7	12.2	12.1	11.9	18.9	18.6	16.7
Higher Risk Assets to Capital and Surplus:							
Mortgages Not in Good Standing	...	...	7.0	7.9	6.1	...	...
All Other Higher Risk Assets	119.3	116.7	115.8	114.3	59.2	72.2	71.4

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	3-Months		Year End - December 31				
	2026	2025	2025	2024	2023	2022	2021
Current Liquidity (%)	90.7	90.6	90.5	90.6	93.8	95.6	95.9
Net Operating Cash Flow USD (000)	26,705	17,805	215,225	193,211	177,632	153,232	162,889

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Homesteaders maintains adequate liquidity levels with strong risk-adjusted capital which helps to offset the company's limited financial flexibility. The 10-year average for the company's current liquidity ratio is reported as 97% with the 2025 current ratio reported as approximately 91%. Homesteaders' overall liquidity ratio as of year-end 2025 was consistent at about 106%. Net cash inflow increased to \$215 million - an 11% year-over-year increase - as of year-end 2025.

During Q1 2023, Homesteaders issued two unaffiliated surplus notes totaling \$40 million to two Sammons Group subsidiaries. The company subsequently repaid the remaining \$5 million on their existing \$10 million surplus note. The surplus notes, as well as preferred stock that Homesteader's parent holding company had issued to Sammons Group in 2024, have been converted to common equity as of the first quarter of 2025. With the conversion of the surplus notes and preferred stock, Homesteaders eliminated the use of all financial leverage on the balance sheet.

Homesteaders balance sheet was also affected in 2023 by the write-off of all remaining assets related to the company's reinsurance relationship with Scottish Re. As a result of the write-off, reserves increased by approximately \$27 million and capital and surplus declined by approximately \$21 million. With the termination of the Scottish Re treaty, Homesteaders maintains no material treaties on new business. Reinsurance leverage has declined to less than 1% as of year-end 2025.

Capitalization

Homesteaders Life Company (Homesteaders) maintains a strong level of risk-adjusted capitalization as measured by AM Best's Capital Adequacy Ratio (BCAR). Year-end capital & surplus increased to approximately \$336 million as of year-end 2025 from \$325 million as of year-end 2024. The growth in surplus was mainly driven by net income.

Capital Generation Analysis USD (000)	3-Months		Year End - December 31				
	2026	2025	2025	2024	2023	2022	2021
Beginning Capital and Surplus	333,472	324,674	324,674	193,700	185,616	194,653	209,947
Net Operating Gain	979	1,300	19,200	13,001	-26,889	6,717	4,488
Net Realized Capital Gains (Losses)	729	-801	-3,609	-1,448	-1,153	1,236	1,042
Net Unrealized Capital Gains (Losses)	-4,146	-6,989	-12,851	-2,643	-11,419	-11,039	-23,985
Net Change in Paid-In Capital and Surplus	...	2,359	2,359	150,000	35,000	...	...
Other Changes in Capital and Surplus	-9,793	-3,984	3,700	-27,936	12,546	-5,950	3,161
Net Change in Capital and Surplus	-12,231	-8,114	8,799	130,974	8,084	-9,037	-15,294
Ending Capital and Surplus	321,242	316,560	333,472	324,674	193,700	185,616	194,653
Net Change in Capital and Surplus (%)	-3.7	-2.5	2.7	67.6	4.4	-4.6	-7.3
Net Change in Capital and Surplus (5 yr CAGR)	...	...	9.7	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Homesteaders' investment portfolio is managed by top tier investment managers. At year-end 2025, approximately 84% of the company's assets were in bonds, 7% mortgage loans, 6% in Schedule BA assets, and 1% in cash/cash equivalents with the remaining balance in stock and real estate. The bond portfolio is almost entirely investment grade with a small allocation to non-investment grade bonds. Allocation to bonds declined with a corresponding increase in Schedule BA assets due to Homesteaders investment in Viridian. Beginning in 2022, the company began to engage in a new commercial mortgage lending program, in partnership with Bancorp, targeting the funeral home industry. While this will increase its allocation to commercial mortgage loans, the funeral home sector provides good diversification to its existing mortgage loans that are typically secured by multi-family, office, retail, and industrial properties. Additionally, allocation to mortgages has been increasing due to the company's partnership with MetLife to underwrite and produce commercial mortgages. The program focuses on high quality assets diversified by property type and geographic location. The average rating of the private commercial mortgage loan portfolio is CM2.

Duration has also been extended by two years since 2011, although this is mitigated by the increase in the expected liability duration as their average age of pre-need payout has been extended from 80 years of age in 2000, to 85 years in recent years. The average maturity of the bond portfolio is approximately 12 years.

Balance Sheet Strength (Continued...)

Composition of Cash and Invested Assets	3-Months		Year End - December 31				
	2026	2025	2025	2024	2023	2022	2021
Total Cash and Invested Assets USD (000)	4,260,036	4,048,781	4,238,103	4,066,348	3,736,030	3,537,385	3,354,674
Composition Percentages (%)							
Unaffiliated:							
Cash and Short Term Investments	0.8	0.9	1.2	1.4	1.2	1.2	1.3
Bonds	84.9	84.6	84.4	83.9	89.7	91.0	90.8
Stocks	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Mortgage Loans	7.2	7.5	7.4	7.6	7.6	6.1	6.1
Other Invested Assets	0.6	0.6	0.4	0.4	1.1	1.2	1.4
Total Unaffiliated	93.7	93.7	93.7	93.5	99.8	99.7	99.7
Investments in Affiliates	6.3	6.3	6.3	6.5	0.4	0.4	0.4
Non-Admitted	...	...	...	...	-0.1	-0.1	-0.1
Total	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Composition of Bond Quality (%)	Year End - December 31				
	2025	2024	2023	2022	2021
Investment Grades					
Class 1 (Highest Quality)	65.4	64.4	65.8	63.6	61.5
Class 2 (High Quality)	31.8	32.8	32.2	33.8	35.7
Total Investment Grade	97.1	97.3	98.0	97.4	97.2
Non-Investment Grades					
Class 3 (Medium Quality)	2.1	2.2	1.4	2.0	2.5
Class 4 (Low Quality)	0.5	0.4	0.4	0.4	0.3
Class 5 (Lower Quality)	0.3	0.2	0.3	0.1	...
Total Non-Investment Grade	2.9	2.7	2.0	2.6	2.8
Below Investment Grade - % of Capital & Surplus	27.1	25.3	30.0	38.8	38.8

Source: BestLink® - Best's Financial Suite

Bonds and Short Term Investments	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Distribution by Maturity (%)						
Total Publicly Traded Bonds	4.0	11.8	13.1	29.0	16.7	13.2
Total Privately Placed Bonds	3.5	10.7	5.4	3.6	2.2	7.2
Total Bonds	7.5	22.5	18.5	32.6	18.9	11.7

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31
	2025
U.S. Govt & Municipalities - Issuer Credit Obligations	8.7
All other Issuer Credit Obligations - U.S. - Unaffiliated	54.6
All other Issuer Credit Obligations - Foreign - Unaffiliated	10.9
Asset-Backed Securities - U.S. - Unaffiliated	24.6
Asset-Backed Securities - Foreign - Unaffiliated	1.2

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Reserve Adequacy

Homesteaders performed well in cash flow testing, which included 31 deterministic interest rate scenarios and 100 stochastic scenarios, passing in all scenarios. The products are generally low risk traditional limited pay policies with no underwriting.

Operating Performance

The assessment of the Homesteaders' overall operating performance is adequate. The company has a growing business, growing premiums, and strong brand recognition. Homesteaders has been able to retain market share through its bargaining power with its third party distribution networks due to its size.

2025 premiums written have increased slightly to \$633 million from \$581 million at year-end 2024. Policy sizes rebounded from the decreases experienced during the pandemic as a result of significant limitations on burial services during the height of the pandemic. While policy size continues to be impacted by an increasing trend in cremations, inflationary pressures at funeral homes and increasing interest in celebratory services have more than offset the impact of cremations in recent years.

Net income increased to \$15.6 million at in 2025, from \$11.6M the prior year driven by a drop in the underwriting loss and improvements to their net investment income.

Net investment income was reported as \$178 million, an increase of approximately 5% from 2024, driven by an increasing invested asset base and higher yields on new purchases. Conversely, underwriting results have regularly been negative for the most recent five year period. At year-end 2025, Homesteaders reported underwriting losses of \$150 million versus \$156 million at year-end 2024. Underwriting losses were elevated in 2023 due to the impact of the Scottish Re write-off. Net investment income has generally offset the net underwriting losses of Homesteaders.

Net yield was flat year-over-year at 4.2% due mostly to the fact that the Viridian investment's earnings flow directly through surplus as opposed to Net investment income.

Net Operating Gain By LOB USD (000)	Year End - December 31				
	2025	2024	2023	2022	2021
Individual Life	4,650	4,026	3,487	1,366	741
Group Life	14,449	8,924	-30,955	4,322	3,556
Individual Annuities	101	51	579	1,028	191
Total	19,200	13,001	-26,889	6,717	4,488

Source: BestLink® - Best's Financial Suite

Business Profile

Homesteaders' business profile is neutral. Homesteaders Life is a leader in the pre-need market segment and is estimated to have approximately 20% of the pre-need market share. Homesteaders remains focused on pre-need and end of life planning. This leading market position is accompanied by strong geographical and distribution channel diversification.

Homesteaders is licensed in all states except NY and DC. As of year-end 2025, Homesteaders' top five states generated approximately 33% of premiums and deposits: Ohio (7.7%), Indiana (7.3%), California (6.7%), North Carolina (5.9%), and Iowa (5.8%). In 2022, Homesteaders elected to cease sales of policies sold in Michigan and switch policies sold in Virginia to core Homesteaders' policies in these states contained death benefit growth that was dependent on specified CPI rates. Legislation in these states has since changed and Homesteaders has re-entered Michigan.

There is a strong degree of competition in the pre-need business segment which is driven more by third party distributors than individual funeral homes, which, if unmitigated, can give strong bargaining power to the distribution partners and has the potential to lead to lower margins. Homesteaders manages this risk by maintaining relationships with multiple marketing organizations in major markets, as well as maintaining strong account executive presence in the field to build relationships with the underlying funeral homes. Homesteaders' investment in Viridian is one example of actions taken to maintain its market position in a competitive pre-need environment. Viridian holds Park Lawn Corporation, which owns and operates more than 192 funeral homes and cemetery properties

Business Profile (Continued...)

across the United States and Canada in addition to providing other death care services. With its investment in Viridian, Homesteaders has been able to insulate its distribution from the effects of funeral home consolidation while providing a stable source of premium.

Homesteaders invested significantly in developing digital capabilities prior to COVID-19 and has utilized those investments to mitigate some of the impacts of COVID-19. However, the company has more opportunity to enhance its operations through technological innovation. Homesteaders will further enhance its operations by focusing on maximizing new distribution opportunities with best in class tools, evaluating opportunities and offering new products and revenue streams to consumers.

2025 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	
Individual Life	92,133	14.6	...	...	...	...	92,133	14.6	100.0
Group Life	521,970	82.4	...	...	72	100.0	521,898	82.4	100.0
Individual Annuities	19,023	3.0	...	...	...	...	19,023	3.0	100.0
Total	633,126	100.0	...	...	72	100.0	633,054	100.0	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2025	2024	2023	2022	2021
Ohio	48,693	47,576	46,258	47,731	47,420
Indiana	46,212	51,249	48,222	46,949	45,082
California	42,145	38,395	35,457	35,463	36,489
North Carolina	37,167	33,156	36,160	32,568	30,201
Iowa	36,465	34,260	32,550	34,607	35,144
Top 5 States	210,682	204,635	198,646	197,319	194,336
All Other	420,061	374,999	357,192	353,035	366,644
Total	630,743	579,634	555,837	550,353	560,980
Geographic Concentration Index	0.04	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Homesteaders Life Company continues to approach ERM in a strong quantitative and qualitative fashion and follows industry best practices such as Asset/Liability Matching and cash flow testing with duration matching, implementation of boards and committees to ensure departments are aligned, and continued focus on cyber security risk in both prevention and breach response plans. The company's risk management team - comprised of various executives and heads of key functional areas - continually reassesses the company's risk appetite statement, which includes a less risk averse statement consistent with the investment strategy and inclusion of small allocations to certain asset classes with higher risk-adjusted returns. Overall, A.M. Best assesses the ERM structure of this company as appropriate.

Reinsurance Summary

In the past, the company has ceded new business under coinsurance contracts to manage peak growth. The company had some exposure (approximately \$27.8 million in reserve credits as of year-end 2022) to Scottish Re US, which was under control of the Delaware Department of Insurance. Scottish Re has since been placed in liquidation and Homesteaders has written off all remaining assets related to the treaty. No material reinsurance is currently being ceded on new business.

Enterprise Risk Management (Continued...)

Environmental, Social & Governance

As a pre-need company, AM Best considers Homesteaders' current exposure to material environmental, social and corporate governance (ESG) risks to be low.

From an investment perspective, ESG factors remain a focal point in the investment analysis both internally as well as with each external investment manager.

Financial Statements

	3-Months		Year End - December 31			
	2026		2025		2024	
Balance Sheet	USD (000)	%	USD (000)	%	USD (000)	%
Cash and Short Term Investments	34,847	0.8	52,926	1.2	57,908	1.4
Bonds	3,616,362	82.1	3,575,730	81.6	3,412,367	81.2
Preferred and Common Stock	7,929	0.2	8,423	0.2	9,072	0.2
Other Invested Assets	600,898	13.6	601,025	13.7	587,001	14.0
Total Cash and Invested Assets	4,260,036	96.7	4,238,103	96.8	4,066,348	96.8
Premium Balances	21,304	0.5	20,962	0.5	19,910	0.5
Net Deferred Tax Asset	25,254	0.6	24,576	0.6	21,600	0.5
Other Assets	98,093	2.2	96,024	2.2	95,007	2.3
Total General Account Assets	4,404,687	100.0	4,379,664	100.0	4,202,865	100.0
Total Assets	4,404,687	100.0	4,379,664	100.0	4,202,865	100.0
Net Life Reserves	3,828,737	86.9	3,793,721	86.6	3,611,377	85.9
Liability for Deposit Contracts	120,221	2.7	133,602	3.1	152,964	3.6
Asset Valuation Reserve	54,805	1.2	45,172	1.0	45,152	1.1
Other Liabilities	79,683	1.8	73,697	1.7	68,698	1.6
Total General Account Liabilities	4,083,445	92.7	4,046,192	92.4	3,878,191	92.3
Total Liabilities	4,083,445	92.7	4,046,192	92.4	3,878,191	92.3
Capital Stock	20,000	0.5	20,000	0.5	291,007	6.9
Paid-In and Contributed Surplus	313,367	7.1	313,367	7.2	...	...
Unassigned Surplus	-12,125	-0.3	106	...	-6,333	-0.2
Other Surplus	...	...	...	...	40,000	1.0
Total Capital and Surplus	321,242	7.3	333,472	7.6	324,674	7.7
Total Liabilities, Capital and Surplus	4,404,687	100.0	4,379,664	100.0	4,202,865	100.0

Source: BestLink® - Best's Financial Suite

	3-Months		Year End - December 31	
	2026	2025	2025	2024
Income Statement USD (000)				
Net Premiums Earned:				
Individual Life	...	...	92,133	82,311
Group Life	...	...	521,898	484,069
Individual Annuities	...	...	19,023	14,884
Total Net Premiums Earned	155,390	146,553	633,054	581,264
Net Investment Income	45,440	43,179	177,523	169,887
Other Income	434	552	6,661	2,696
Total Revenue	201,264	190,284	817,237	753,847
Policy Benefits	152,564	146,741	617,221	587,235
Commissions and Expense Allowances	24,261	22,005	94,211	80,954
Insurance and Other Expense	23,245	19,570	78,293	71,566
Pre-Tax Net Operating Gain	1,194	1,968	27,513	14,092
Income Taxes Incurred	215	668	8,313	1,092
Net Operating Gain	979	1,300	19,200	13,001
Net Realized Capital Gains	729	-801	-3,609	-1,448
Net Income	1,708	500	15,591	11,553

Source: BestLink® - Best's Financial Suite



BEST'S CREDIT REPORT

AMB #: 006534 - Homesteaders Life Company

Statement of Operating Cash Flows USD (000)	3-Months		Year End - December 31	
	2026	2025	2025	2024
Net Premiums Collected	154,454	145,887	630,672	579,572
Net Investment Income	45,979	41,325	185,018	183,045
Other Income Received	704	618	7,086	3,360
Total Collected Operating Revenue	201,137	187,830	822,776	765,977
Net Benefits and Loss Related Payments	117,782	122,155	435,282	420,734
Commissions and Other Expenses Paid	54,880	47,869	171,768	152,032
Income Taxes Paid (Recovered)	1,770	...	500	...
Total Paid Expenses and Transfers	174,432	170,024	607,551	572,766
Net Operating Cash Flow	26,705	17,805	215,225	193,211

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

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